



United States
Attorney's Office
Southern District of New York



Leader Of \$48 Million Healthcare Fraud Scheme Sentenced To 14 Months In Prison

Tuesday, May 6, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of
New York

Jay Clayton, the United States Attorney for the Southern District of New York, announced today that MANISHKUMAR PATEL was sentenced to 14 months in prison by U.S. District Judge Lorna G. Schofield for defrauding Medicare. PATEL previously pled guilty to conspiring to commit health care fraud, wire fraud, and violating the Anti-Kickback Statute.

U.S. Attorney Jay Clayton said: “As he previously admitted, Manishkumar Patel bilked Medicare for nearly \$50 million. Frauds on our Medicare system increase costs for all Americans, and worse yet, potentially restrict access to those in need of critical healthcare. Patel’s 14 month sentence in federal prison sends an important deterrent message to those who would seek to bilk our Medicare system.”

According to the charging documents and other filings and statements made in court:

Between 2019 and 2022, PATEL and a coconspirator (“CC-1”) fraudulently sold prescriptions and doctors’ orders for durable medical equipment, pharmaceuticals, and laboratory tests (collectively, “scripts”) to durable medical equipment suppliers, pharmacies, and laboratories (collectively, the “Medicare Providers”).

PATEL obtained the scripts from call centers that called Medicare beneficiaries and asked them perfunctory questions designed to justify a script that would be reimbursed by Medicare. PATEL turned the information from those calls into scripts by, variously: arranging cursory telemedicine appointments with the beneficiaries; a practice called “doctor chasing,” in which the information was sent to a doctor who signed the script without seeing the patient and who was frequently unaware of what they were

signing; and obtaining forged scripts. PATEL then sold the scripts to Medicare Providers, which filled the orders and billed Medicare.

Because the scripts were fraudulently obtained, many beneficiaries rejected the items they were sent by the Medicare Providers, many doctors threatened to report PATEL for fraud, and Medicare frequently refused to pay for the scripts.

The Medicare Providers made payments to PATEL for the scripts in violation of the Anti-Kickback Statute. PATEL and the Medicare Providers entered into sham contracts for generic marketing services at flat rates in an attempt to conceal their illegal kickback scheme.

PATEL was a leader of the scheme, which resulted in losses to Medicare of approximately \$48 million.

* * *

In addition to the prison term, PATEL, 44, of Pelham Manor, New York, was sentenced to one year of home detention. PATEL was also ordered to pay \$48,150,692.49 in restitution to the U.S. Centers for Medicare and Medicaid Services, and to forfeit \$6,839,900.

Mr. Clayton praised the outstanding work of the U.S. Department of Health and Human Services, Office of Inspector General.

The case is being prosecuted by the Office's Complex Frauds and Cybercrime Unit. Assistant U.S. Attorney Kevin Mead is in charge of the prosecution.

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